IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CA No/157/CAA/2018

Under section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation
Between
M/s. GSH Environmental Services Private Limited
(1st Transferor Company)
And
M/s. GSH Technical Services Private Limited
(2nd Transferor Company)
With
M/s. GSH Facilities Management Services Private Limited
(Transferee Company)
With
Their Respective Shareholders

Order delivered on: 18.09.2018

Coram:
K. Anantha Padmanabha Swamy, Member (Judicial)
S. Vijayaraghavan, Member (Technical)

For the Petitioners: *Shri. N. Venkatesh, PCS*

ORDER

Per: K. ANANTHA PADMANABHA SWAMY, MEMBER (J)

Under Consideration is a Company Application No. CA/157/CAA/2018 filed under section 230 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules 2016. The instant Company Applications in the matter of the Scheme of Amalgamation. The Applicant Companies, *M/s. GSH Environmental Services Private Limited* (hereafter refereed as **"1st Transferor Company"**) and *M/s. GSH Technical Services Private Limited* (hereafter refereed as **"2nd Transferor Company"**)

with *M/s. GSH Facilities Management Services Private Limited* (hereafter referred as **"Transferee Company"**).

The Applicant/Transferor Companies 1, 2 and Transferee Company through this application have prayed for seeking directions for dispensing with the convening, holding and conducting of the meeting of the Equity shareholders and secured and unsecured Creditors.

1. M/s. GSH Energy Services Private Limited (1st Transferor Company).

i) The 1st Transferor Company viz., M/s. GSH Environmental Services Private Limited, is a Private Limited Company; it was incorporated under the Companies Act, 1956. There are 2 (Two) equity shareholders of the 1st Transferor Company. The Particulars of said equity shareholders have been furnished in the typed set filed with the Application. The consent affidavits given by all the 2 (Two) equity shareholders are placed at pages 127 & 128 of the typed set, filed with the Application, wherein it has been deposed that they do support the Scheme and consent to dispense with convening, holding and conducting the meeting of Equity Shareholders. Since all the requirements under law have been fulfilled, the meetings of the equity shareholders of the 1st Transferor Company is allowed to be dispensed with.

ii) There are no Secured Creditors and 5 (seven) unsecured creditors in relation to the 1st Transferor Company and the certificate issued by

M/s. S H A N & Associates., Chartered Accountants to this effect is placed at page no. 190 of the typed set filed with the Application. The unsecured creditors has given the consent affidavits, which constitute 95.53% (Rs. 78,00,148/-) of the total value of the unsecured credit Rs. 81,64,418/-. Out of 7 (Seven) unsecured creditors 2 have given their consent which is placed at pages 193 & 194 of the typed set filed by the Applicant Company. Therefore, the meeting of unsecured creditors is allowed to be dispensed with under clause (9) of the Companies Act, 2013.

2. **M/s. GSH Technical Services Private Limited** (2nd Transferor Company)

   i) The 2nd Transferor Company viz., M/s. GSH Technical Services Private Limited is a Private Limited Company, it was incorporated under the Companies Act, 1956. There are 2 (Two) equity shareholders of the 2nd Transferor Company. The Particulars of said equity shareholders have been furnished in the typed set filed with the Application. The consent affidavits given by all the 2 **(Two)** equity shareholders are placed at pages 129 & 130 of the typed set filed by the Applicant Company. Wherein it has been deposed that they do support the Scheme and consent to dispense with the convening, holding and conducting the meeting of equity shareholders. Since all the requirements under law have been fulfilled, the meeting of the equity shareholders of the 2nd Transferor Company is allowed to be dispensed with.

ii) There are no Secured Creditors and there is 1 (one) unsecured creditor in relation to the 2st Transferor Company and the certificate issued by **M/s. S H A N & Associates.,** Chartered Accountants to this effect is placed at page no. 191 of the typed set filed with the Application. The unsecured creditors have given the consent affidavit, which constitute 100% of the total value of the unsecured credit Rs. 72,861/-. The NOC given by the unsecured creditor is placed at 195 of the typed set filed with the application. Therefore, the meeting of unsecured creditors is allowed to be dispensed with under clause (9) of the Companies Act, 2013.

3. M/s. GSH Facilities Management Services Private Limited
(Transferee Company).

i) The Transferee Company viz., M/s. GSH Facilities Management Services Private Limited is a Private Limited Company, it was incorporated under the Companies Act, 1956. There are 2 (Two) equity shareholders of the Transferee Company. The Particulars of said equity shareholders have been furnished in the typed set filed with the Application. The consent affidavits given by all the 2 **(Two)** equity shareholders are placed at pages 131 & 132 of the typed set filed by the Applicant Company, wherein it has been deposed that they do support the Scheme and consent to dispense with the convening, holding and conducting the meeting of equity shareholders. Since all the requirements under law have been fulfilled, the meeting of the equity shareholders of the Transferee Company is allowed to be dispensed with.

ii) There are no Secured Creditors and there are 7 (Seven) unsecured creditors in relation to the Transferee Company and the certificate issued by **M/s. S H A N & Associates.,** Chartered Accountants to this effect is placed at page no. 189 of the typed set filed with the Application. The unsecured creditors have given the consent affidavits, which constitute 76.73% (Rs. 45,24,771/-) of the total value of the unsecured credit Rs. 58,96,410/-. Out of 7 (Seven) unsecured creditors 1 (One) has given the consent which is placed at page 192 of the typed set filed by the Applicant Company.

4. As per clause (9) of section 230 of the Companies Act, 2013 meeting creditors can be dispensed with only when creditors who constitute 90% credit value have given their consent. In this case credit value amounting to only 76.73% has given consents. In view of this the Tribunal directs the Transferee Company to convene the meeting of the unsecured creditors. The Managing Director of the Transferee Company shall be the Chairperson of the meeting, in his absence one of the Director's shall chair the meeting. The quorum for meeting of unsecured creditors shall be 2 in number constituting 25% or more of unsecured credit and that if the said quorum is not present at fixed time for meeting, the meeting shall be adjourned by half an hour and thereafter, the persons present for voting shall be deemed to constitute the quorum.

5. The notices in respect of the Transferee Company meeting of unsecured creditors have to be sent at least not less than 30 days prior to date fixed for

meeting. The services of notice shall be effected by speed post/through electronic means, to the e-mail address of the members which are available with the Applicant Companies.

6. Looking to the prayers made in the application by the Transferor Companies-1, 2 and Transferee Company in relation to the Scheme of Amalgamation, this Bench hereby directs in term of under clause (5) of the section 230 and under sub-section (3) of the Companies Act, 2013 issuance of notices to the Regional Director, Ministry of Corporate Affairs, ROC concerned, Income Tax Authorities, Official Liquidator and such other sectorial regulators or authorities, if necessary. In case the scheme is exempted under the Competition Act, 2002, an affidavit to this effect is to be given. Otherwise, notice to CCI may also be issued. Since Transferor Company-1, 2 and Transferee Company are Private Limited companies, there is no need to issue notices to SEBI and to the Stock Exchanges. The authorities are directed to make objections/representations, if any, within 30 days from the date of the receipt of notice. In case no objection/representation is received within the stipulated time it shall be deemed that they do not have any objections.

7. In respect of the Transferor Companies-1 & 2, the Registry is also directed to issue notice to the Official Liquidator, who in turn, may appoint a Chartered Accountant and submit a report with regard to the Transferor Companies-1 & 2 within four weeks from the date of receipt of this order.

8. The Transferor Companies-1, 2 and Transferee Company are directed to make separate publication of notices in newspapers one in English and the other in vernacular language, preferably in **Business Standard (English Edition)** and

Dinakaran (Tamil Edition) having wide circulation in the State of Tamil Nadu, not less than 30 days before the next date of hearing of the petition. The Applicant Companies are directed to place the notice on their website, if any, and also place the same on the notice board at the registered office of the company. The Applicant Companies are also directed to send private notice to the authorities by way of speed post and file the proof of sending and effecting service of notices along with the paper publication by way of an affidavit before the next date of hearing. The Registry is also directed to display the notice on the notice board of the NCLT, Chennai.

9. The petition to be presented on or before 23.11.2018.

S. Vijayaraghavan
Member (Technical)

K. Anantha Padmanabha Swamy
Member (Judicial)

TJS